LIVE CASE – 2

The Future of Pet Retail: Will Chewy's disruption become its own vulnerability?

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Executive Summary

- The pet industry is at an inflection point, driven by shifting customer expectations and rapid advances in technology.
- Among all STEEP drivers, societal and technological forces stand out as the most uncertain and impactful for shaping the future.
- On the societal side, the biggest uncertainty is whether Gen Z's digital-first and values-driven expectations will stabilize into predictable norms or continue fragmenting into fast-moving micro-trends.
- On the technological side, the defining uncertainty is whether AI will remain a true differentiator that strengthens incumbents or become a commodity accessible to all players.
- When combined, these two uncertainties create four plausible futures for the pet industry, each defined by the stability of customer expectations and the defensibility of AI advantage.
- In each future, the competitive environment shifts dramatically, as incumbents, insurgents, and adjacents rise or fall depending on how these forces play out.
- These shifting dynamics open opportunities to build defensible data ecosystems, expand into health and insurance, and lead on sustainability, while also exposing threats such as loyalty fragmentation, AI commoditization, and costly service expansion.
- To navigate this, Chewy must pursue an adaptive strategic response that defends its Autoship core, selectively scales adjacencies, and positions itself as a purpose-driven, data-enabled platform.
- This requires deliberate maneuvering over time: first stabilizing subscriptions, then scaling into health and personalization, and ultimately transforming into an integrated ecosystem leader.
- By following this adaptive path, Chewy can thrive regardless of how customer expectations and AI capabilities evolve, ensuring resilience in every possible future scenario.

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I. Introduction

A. Situation

In the last ten years, the pet industry has changed a lot. People do not see pets only as animals anymore. For many families, pets are like children or close friends. Young people, like Millennials and Gen Z, feel this even more. They spend more money on food, toys, health care, and even insurance for their pets.

During the pandemic, pet ownership grew fast. Many people also started to buy pet products online. Younger customers now want easy digital services. They like fast delivery, simple online orders, and clear prices. Many people also care about the environment. They prefer green products, recyclable packages, and safe items for pets. These changes are pushing the whole pet industry in a new way.

Chewy started in 2011. The company grew very quickly. It became popular because it sold many products, gave good service, and shipped orders fast. Chewy also made a subscription program. Customers could get food and supplies repeatedly without new orders. This made shopping easy for customers and brought Chewy steady income. By 2024, Chewy was one of the biggest online pet stores in the U.S. It sold more than 100,000 products. Its success made companies like Petco and PetSmart change their business plans.

B. Complications

Now, the industry faces many problems. One problem is money. Inflation and tariffs made things more expensive. Costs went up for companies and customers. Another problem is competition. Big companies like Amazon and Walmart are strong because they have scale and good shipping. Small startups also entered with new ideas, such as smart collars, self-cleaning litter boxes, and health products sold online. Customers have many choices now, so they are less loyal.

Technology also brings changes. Companies use AI to remind customers, manage stock, and do personal marketing. Social media also has power. Groomers and trainers can become influencers on TikTok or Instagram. They can change what pet owners decide to buy. More people also want eco-friendly brands. More than two-thirds of customers say they prefer green products. If companies do not change, they may lose customers.

Chewy also feels pressure. In 2024, it opened veterinary clinics. The idea was to connect online shopping with real health care. But this is risky. Petco tried before and failed because of high cost and weak results. Chewy may face the same problem. Also, Chewy's old strengths, i.e., subscriptions, good service, and fast delivery are no longer special. Other companies can copy them. In 2024–2025, Chewy even had layoffs and restructuring. This shows the company is under stress from both the economy and customer changes.

C. Questions

Now the big question is: how can Chewy keep growing in this fast-changing industry? The company cannot only rely on subscriptions and fast delivery anymore. It must find new ways to create value, maybe with personalization, sustainability, or health services. If Chewy does not adapt, it could face the same decline as older players like Petco. The future depends on how quickly Chewy can change and where it chooses to invest.

II. STEEP analysis

A. Identifying the Driving factors:

Societal

- **Gen Z's Shifting Demands:** Expectations are constantly rising, and the uncertainty is whether companies can innovate fast enough without chasing short lived fads.
- **Pets as family, spending keeps growing:** Spending is resilient, but it is uncertain whether consumers will keep trading up to premium products or shift to cheaper options while expecting the same quality.
- **Vets and influencers shape choices:** Authority and virality both drive decisions, but it is uncertain whether these influences create lasting loyalty or only temporary spikes.

Technological

- **AI as Differentiator or Commodity**: Artificial intelligence is transforming personalization and efficiency in pet care, but it is uncertain whether it will remain a true competitive edge or quickly become a commodity that every company can access.

- **New gadgets create fresh competition:** Devices open new ecosystems, but it is uncertain which will become essential, and which will fade as novelties.
- **Scale vs. unique experiences:** Scale ensures convenience, but it is uncertain whether true loyalty will come from logistics or from unique, personal experiences.

Economic
- **Industry growth with short term dips:** Spending will rise long term, but it is uncertain how economic downturns will affect discretionary categories.
- **Subscriptions provide stability but risky:** Recurring revenue smooths demand, but it is uncertain how vulnerable the model is to churn or disruption.
- **Insurance shifts budgets to healthcare:** Insurance is rising fast, but it is uncertain whether this will shrink discretionary spend or create new bundled opportunities.

Environmental
- **Sustainability now a purchase driver:** Eco values influence buying, but it is uncertain how much extra consumers will pay, and which claims matter most.
- **Protein and ingredients under pressure:** Inputs are getting costly, but it is uncertain whether consumers will widely accept alternatives like insect or plant proteins.
- **Products reshaped by eco and wellness trends:** New formats are emerging, but it is uncertain which will become everyday habits and which will stay niche.

Political
- **Tariffs drive unpredictable costs:** Costs are rising under tariffs, but it is uncertain whether these policies are temporary or permanent.
- **Trade policy makes supply chains fragile:** Rules keep shifting, and it is uncertain how companies can design resilient yet efficient networks.
- **Regulation of veterinary care and data:** Clinics and devices face fragmented rules, and it is uncertain whether stricter oversight will slow growth or looser rules will allow faster scaling.

B. Driving Factors Specifics

Based on the STEEP analysis, the two driving forces are **societal** and **technological** factors. Societal uncertainty comes from Gen Z's fast changing digital and values driven expectations, which make loyalty fragile. Technological uncertainty stems from AI and new pet tech innovations, which could either strengthen incumbents or empower insurgents. Together, these will shape the future of the pet industry.

Societal: Gen Z's Digital First, Purpose Driven Expectations

A major uncertainty for the pet industry is how quickly Gen Z's expectations will evolve and whether companies can keep up. For this generation, online booking, real time updates, subscription flexibility, and transparent pricing are baseline requirements, not extras. They also expect the brands they support to reflect values like sustainability, cruelty free practices, and authenticity, which they weigh as heavily as convenience and price.

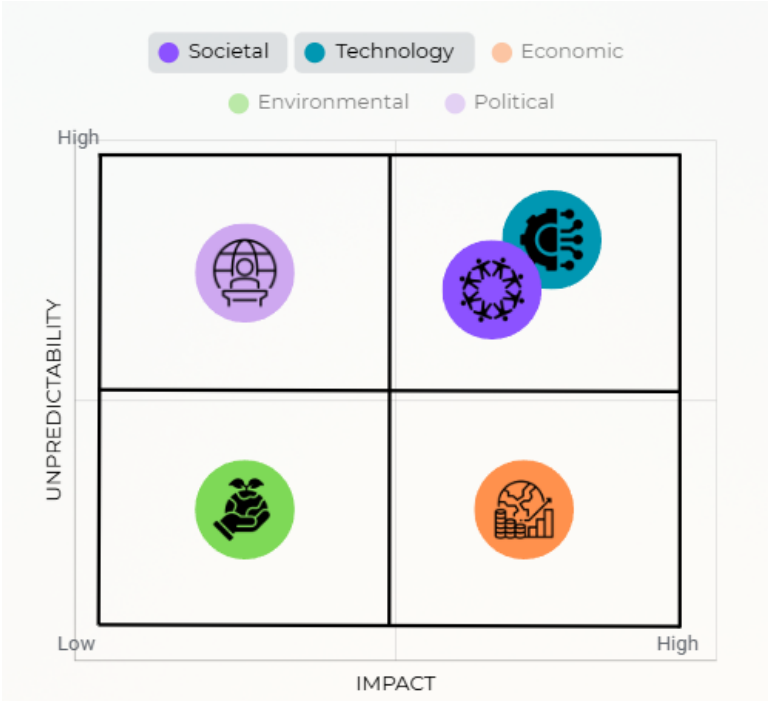
The challenge is that these expectations shift quickly. What feels innovative today can soon feel outdated as new platforms and cultural trends reset the bar. Gen Z rewards brands that deliver but switches just as fast when experiences fall short or feel disconnected from their values. The uncertainty is whether expectations will stabilize enough to support lasting digital ecosystems or keep accelerating and drive constant churn that weakens loyalty.

Technological: AI as Differentiator or Commodity

Artificial intelligence is now powering scheduling, staffing, and personalized reminders, with the potential to link customer data and logistics into seamless, proactive experiences. Combined with subscription models that already drive over 80 percent of sales for leading platforms, AI could strengthen retention by anticipating needs and preventing churn, giving incumbents a durable competitive moat.

The uncertainty is whether this edge will last. As off the shelf tools improve, even small startups can offer advanced personalization, reducing the gap with industry leaders. If AI becomes a baseline capability rather than a true differentiator, companies will be forced to find new ways to stand out. The question is whether AI will secure lasting advantage or simply level the field for everyone.

C. Scenario Bounding



Societal – Gen Z's Shifting Demands

Bound 1: Stable & Converging Expectations
Digital norms converge around fast delivery, transparent pricing and sustainable packaging. Gen Z values stabilize into a few core standards, creating predictable loyalty drivers. Brands that execute consistently on these basics can retain customers with lower churn and steadier CAC. Chewy benefits if expectations mature into a stable ecosystem where membership and Autoship can anchor long-term cohorts.

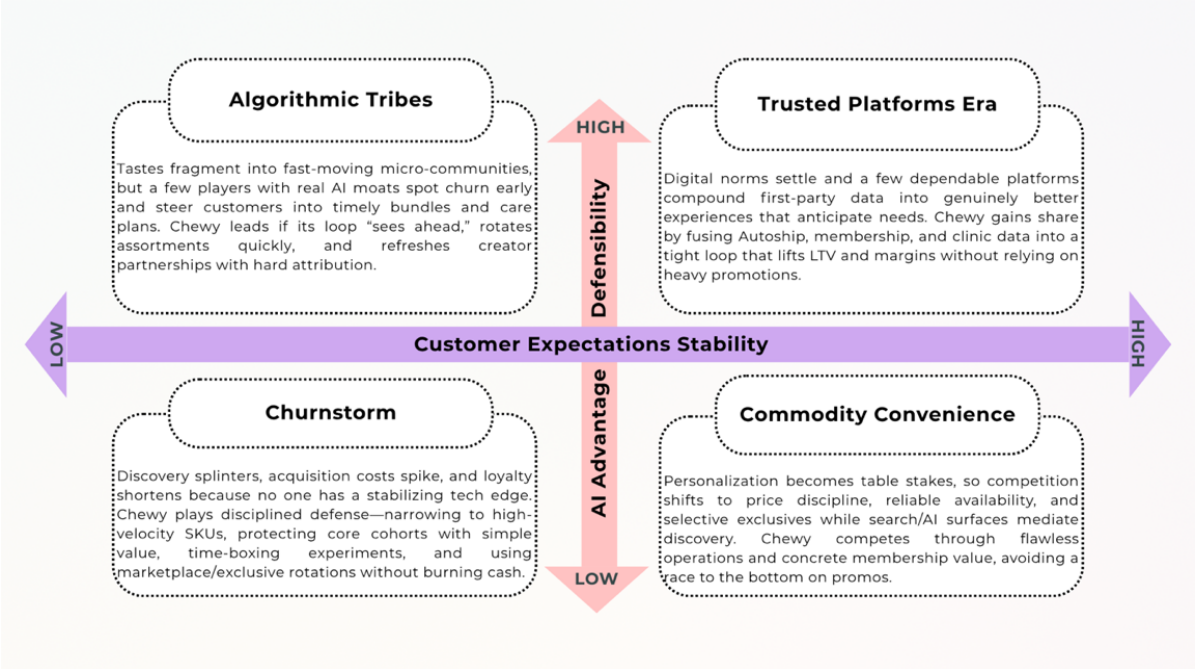
Bound 2: Accelerating & Fragmenting Expectations
Cultural and digital trends flip quickly, with loyalty shifting to micro-tribes driven by creators, viral platforms and niche values. What feels innovative today becomes outdated within months. CAC spikes as companies chase fads, while retention weakens. Chewy faces volatility in customer acquisition and must refresh experiences constantly to prevent churn, even if this comes at higher cost.

Technological – AI may deliver a lasting moat or collapse into parity

Bound 1: Durable AI Edge
First-party data from Autoship, membership and clinics combine into a closed loop that gives Chewy and similar players a defensible advantage. AI enables proactive personalization, reduces stockouts and strengthens retention by anticipating customer needs. The performance gap in CX and economics is clear, with incumbents converting this into higher margins and share gains.

Bound 2: AI Parity
Advances in off-the-shelf tools make AI-powered personalization universal. Smaller players and marketplaces can offer similar reminders, chatbots and recommendations, erasing differentiation. Discovery becomes intermediated by search and AI surfaces, and competition shifts back to price, speed and exclusives. Chewy's advantage weakens as AI becomes baseline hygiene rather than a strategic moat.

D. Scenario Planning



We look at the future of the pet industry through two lenses of uncertainty: **Customer Expectations Stability** and **AI Advantage Defensibility**. The technology question is whether a platform's AI advantage remains defensible due to its moat of closed-loop first-party data and integrated workflows, or whether it breaks to parity as generic off-the-shelf tools proliferate. The societal question is whether expectations coalesce around some common digital norms (fast delivery, free returns, transparent pricing), or whether they continue to fragment into fast-moving micro-tribes shaped by creators and shifting values.

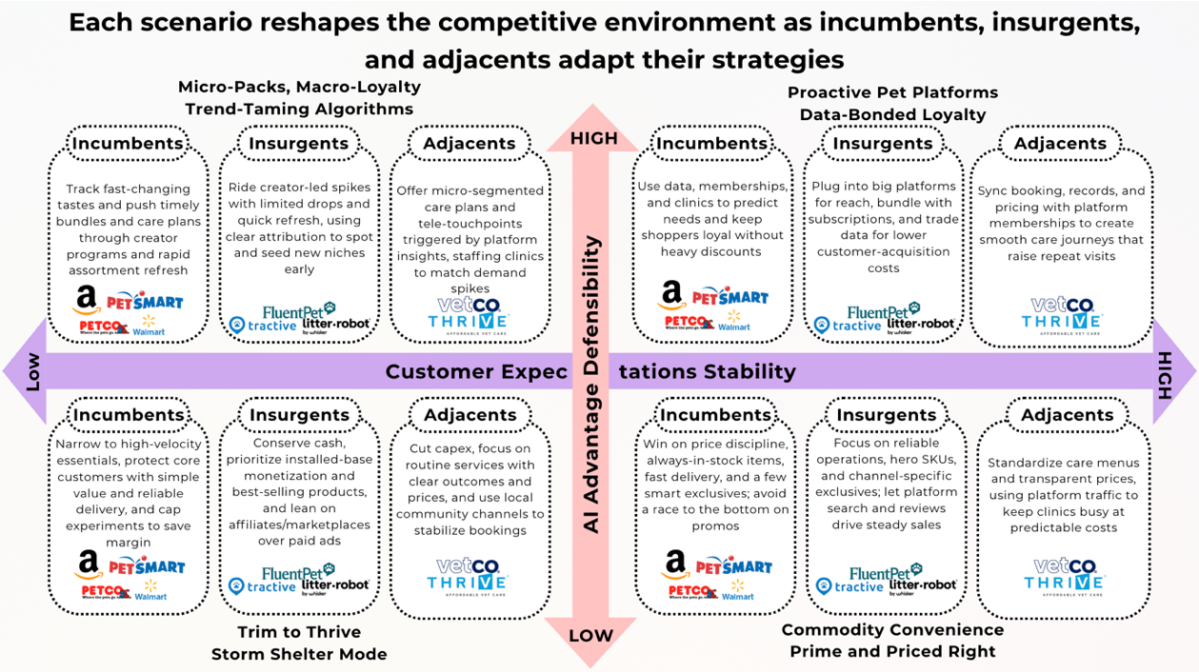
Stable Expectations + Defensible AI → Trusted Platforms Era: A small set of scaled players compound data into reliably better experiences that anticipate needs and avert churn. Chewy is a share gainer here by tightening the Autoship, membership, and clinic loop and converting that into higher LTV with limited promo spend.

Stable Expectations + Parity AI → Commodity Convenience: Personalization is hygiene, search and AI surfaces intermediate discovery, winners are decided by price discipline, in-stock, and selective exclusives. Chewy fights on flawless operations and tangible membership value and avoids the promo race.

Fragmented Expectations + Defensible AI → Algorithmic Tribes: Tastes move quickly but a few platforms with real data moats spot churn early and steer customers into timely bundles and care plans. Chewy leads if its loop can predict these shifts, rotate assortments quickly, and refresh creator partnerships with clear attribution.

Fragmented Expectations + Parity AI → Churnstorm: Discovery splinters, CAC spikes, and loyalty shortens because no one can stabilize the journey. The rational posture for Chewy is disciplined defense: narrow to high-velocity SKUs, protect core cohorts with simple value, time-box experiments, and rotate exclusives through marketplace slots without burning cash.

E. Scenario Planning with Incumbents, Insurgents, & Adjacent



Using the extremes of uncertainties, let's look at how different competitors shape the environment in the four different worlds. By analysing how each of the incumbents, insurgents and adjacent competitor are impacted in the 4 different worlds we can better understand Chewy's position. Incumbents are scaled retailers and marketplaces with growing online pet products offerings that already command significant market share in pet supplies and services. Insurgents are niche pet-tech or hardware brands that can quickly siphon loyalty with novel devices or experiences by riding viral demand or creator channels. Adjacent players are veterinary or clinical service networks that integrates care and pricing into retail platforms without primarily being retailers.

Quadrant 1: Proactive Pet Platforms with Data-Bonded Loyalty

Incumbents	Amazon, Walmart, PetSmart, Petco	Use data, memberships, and clinics to predict needs and keep shoppers loyal without heavy discounts
Insurgents	FluentPet, Tractive, Litter-Robot	Plug into big platforms for reach, bundle with subscriptions, and trade data for lower customer acquisition costs
Adjacents	Vetco, Thrive	Sync booking, records, and pricing with platform memberships to create smooth care journeys that raise repeat visits

Quadrant 2: Micro-Packs, Macro-Loyalty backed by Trend-Taming Algorithms

Incumbents	Amazon, Walmart, PetSmart, Petco	Track fast changing tastes and push timely bundles and care plans through creator programs and rapid assortment refresh
Insurgents	FluentPet, Tractive, Litter-Robot	Ride creator led spikes with limited drops and quick refresh, using clear attribution to spot and seed new niches early
Adjacents	Vetco, Thrive	Offer micro segmented care plans and tele touchpoints triggered by platform insights, staffing clinics to match demand spikes

Quadrant 3: Trim to Thrive by shifting to Storm Shelter Mode

Incumbents	Amazon, Walmart, PetSmart, Petco	Narrow to high velocity essentials, protect core customers with simple value and reliable delivery, and cap experiments to save margin
Insurgents	FluentPet, Tractive, Litter-Robot	Conserve cash, prioritize installed base monetization and bestselling products, and lean on affiliates/marketplaces over paid ads
Adjacents	Vetco, Thrive	Cut capex, focus on routine services with clear outcomes and prices, and use local community channels to stabilize bookings

Quadrant 4: Commodity Convenience: Prime and Priced Right

Incumbents	Amazon, Walmart, PetSmart, Petco	Win on price discipline, always in stock items, fast delivery, and a few smart exclusives; avoid a race to the bottom on promos
Insurgents	FluentPet, Tractive, Litter-Robot	Focus on reliable operations, hero SKUs, and channel specific exclusives; let platform search and reviews drive steady sales
Adjacents	Vetco, Thrive	Standardize care menus and transparent prices, using platform traffic to keep clinics busy at predictable costs

F. Application of DOTS Framework

The pet industry is being reshaped by powerful drivers: the humanization of pets, Gen Z's digital-first expectations, rapid adoption of AI, and rising demand for sustainability. Chewy, once a disruptor with its Autoship subscriptions, personalized service, and fast delivery, now faces a market where those advantages are no longer unique. Competitors from every angle, Amazon and Walmart on scale, Petco on services, and insurgents like Litter-Robot or FluentPet on innovation are fragmenting customer loyalty.

Chewy's expansion into veterinary care and fresh food reflects an attempt to adapt, but also introduces new risks, as seen in Petco's mixed results with similar moves. With tariffs inflating costs and consumer expectations shifting quickly, Chewy's challenge is to evolve beyond its original playbook and identify new levers of value.

Drivers	Opportunities	Threats	Strategic Response
Gen Z's Shifting Demands: Gen Z's loyalty is fragile with rapidly shifting expectations around digital convenience, sustainability, cruelty-free practices, and authentic brand values that weigh as heavily as price and convenience. **Technological - AI as Differentiator or Commodity:** AI could provide durable advantage through first-party data loops (Autoship, membership, clinic records) or become commoditized as off-the-shelf tools enable smaller players to offer comparable personalization.	**Data Ecosystem Advantage:** Leverage closed-loop data from Autoship (80%+ penetration), membership, and clinic visits to create proactive care bundles and anticipatory experiences that competitors can't match. **Premium Health Integration:** Expand veterinary services to create seamless online-to-clinic journeys, tapping into the pet healthcare market with telehealth and insurance bundling. **Sustainable Value Leadership:** Build authentic sustainability credentials and transparent practices to capture Gen Z customers who prioritize ethical standards alongside convenience.	**Loyalty Fragmentation:** Micro-tribes and influencer-driven trends can cause rapid customer churn as expectations shift quickly, spiking CAC and weakening retention. **AI Commoditization Risk:** If personalization becomes table stakes, competition shifts back to price and speed wars with Amazon/Walmart while insurgent startups capture viral demand. **Service Expansion Complexity:** Veterinary expansion risks high costs and operational burden similar to Petco's mixed results, especially in fragmented regulatory environments.	Horizon 1: Defend Core Autoship Ecosystem (0-18 months) Chewy should reinforce its subscription and clinic data loop to secure loyal customers, leveraging predictive analytics and expanded member perks, while streamlining clinic operations and rapidly partnering with influencers to respond to market trends. This approach deepens data-driven advantages and reduces threats from volatile customer loyalty. Horizon 2: Scale Adjacent Health & Personalization (18 months - 3 years) Chewy should expand into digital health and wellness by integrating telehealth, insurance, and proactive care offerings powered by AI, while using carbon-neutral supply chains and curated partnerships to boost differentiation. This strategy leverages health integration for growth and defensibility, keeping complexity manageable with selective, value-driven innovation. Horizon 3: Platform Transformation & Ecosystem Leadership (3-6 years) Chewy should aim for industry leadership by integrating AI-driven, full-lifecycle pet management, expanding clinics, and pioneering sustainability, while scaling its platform globally where pet humanization is rising. This approach minimizes disruption risk and maximizes growth through technological and operational excellence.

Chewy's path forward requires embracing its strengths while adapting to a more fragmented, dynamic landscape. Opportunities are substantial for a brand willing to pilot new formats and invest in data-enabled, purpose-driven ecosystems. The threats, however, demand a nimble stance and constant reinvention to avoid stagnation and competitive erosion from both scaled rivals and niche insurgents.

III. Three Horizons Framework & Recommendations

Chewy was built around a vision of reimagining pet retail with obsessive customer service and convenience. The brand talked about a future where online pet care could be personal, reliable, and emotionally resonant. Tactics like handwritten cards, 24/7 customer service, free shipping and returns were not investments in short-term profitability, but in trust and delight. Chewy's vision helped make it the Zappos of pet care, accelerate its base, and win big exits with PetSmart's acquisition in 2017 and Chewy's IPO in 2019. The strategy that characterized this period was Visionary: invent the future experience and pull the market into it.

The pandemic pushed Chewy into a world of volatility and perpetual change. Demand skyrocketed then normalized, customer expectations evolved to digital-first convenience, and competition rose from Amazon, Walmart, and insurgent pet-tech startups. Chewy has operated with an experiment-to-speed philosophy and has

pivoted to meet this new reality. The company scaled logistics and operations in COVID, piloted new categories like tele-vet, pharmacy and fresh food, and later restructured operations to contend with inflation and cost pressures. Chewy most recently launched vet clinics and private label lines to test new growth engines. Today Chewy operates in Adaptive mode: success is determined by continuous experimentation, reallocation of resources, and fast pivots in response to consumer behavior and market shocks. Chewy's ambition to expand into clinics and wellness services is visible, but the operating mode is Adaptive.

Horizon 1: Defend Core Autoship Ecosystem (0-18 months)

Objective: Stabilize and strengthen the subscription-clinic data loop while maximizing opportunities from stable customer cohorts.
Strategy Focus: Maximize opportunities by deepening data advantage and minimizing threats from loyalty volatility.
Next Steps:

1. **Autoship Intelligence:** Deploy predictive analytics to reduce churn by anticipating needs, optimizing delivery schedules, and triggering proactive bundles before customers' defect
2. **Membership Value Enhancement:** Expand Chewy+ benefits with sustainability rewards, exclusive access to limited drops, and transparent pricing to meet Gen Z values
3. **Core Clinic Integration:** Streamline existing clinic operations with unified scheduling, EMR integration, and outcome tracking to prove ROI before expansion
4. **Creator Attribution System:** Build rapid-response influencer partnerships with clear measurement to ride viral trends while protecting core subscription revenue

Horizon 2: Scale Adjacent Health & Personalization (18 months - 3 years)

Objective: Expand into high-growth health adjacencies while building defensible AI moats through integrated experiences.
Strategy Focus: Maximize opportunities from health integration while minimizing threats from service complexity.
Next Steps:

1. **Telehealth + Insurance Platform:** Launch integrated virtual care and insurance bundling tied to purchase history, creating switching costs and higher LTV
2. **Predictive Wellness Ecosystem:** Use clinic data and Autoship patterns to offer proactive health interventions, nutrition transitions, and preventive care packages
3. **Sustainable Supply Chain Leadership:** Build transparent, carbon-neutral logistics and packaging to differentiate authentically on values without premium pricing
4. **Partnership Marketplace:** Create curated ecosystem with insurgent pet-tech brands (Litter-Robot, FluentPet) for limited drops and attribution-driven discovery

Horizon 3: Platform Transformation & Ecosystem Leadership (3-6 years)

Objective: Transform into the dominant pet care platform through breakthrough technology and comprehensive life-cycle management.
Strategy Focus: Minimize threats from disruption while maximizing opportunities through platform leadership.
Next Steps:

1. **AI-Powered Pet Lifecycle Platform:** Develop comprehensive pet management system integrating nutrition, health monitoring, behavioral insights, and end-of-life care
2. **Veterinary Network Expansion:** Scale clinic network strategically in high-density markets with proven utilization models, potentially through partnerships or franchising
3. **Sustainability Innovation Hub:** Invest in breakthrough sustainable packaging, alternative proteins, and circular economy models to lead industry transformation
4. **Global Platform Extension:** Expand platform model to international markets where pet humanization trends are emerging, leveraging proven data and operational capabilities

Each horizon builds on Chewy's core strengths while progressively addressing the uncertainties around customer expectations and AI defensibility, positioning the company to lead regardless of which scenario unfolds.

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14. ChatGPT and Gemini were used for summarizing some of the bullet points and occasionally as a starting point for research.